

Executive Summary – Customer Churn Analysis

Objective

Customer churn directly impacts business revenue and long-term growth. The goal of this project was to analyze customer churn data to identify the key drivers of churn and recommend actionable strategies to improve customer retention.

Dataset Overview

The analysis was performed on a customer churn dataset containing over 500 customer records, including tenure, monthly charges, contract type, and churn status.

Key Findings

- Customers with **higher monthly charges** show a significantly higher churn rate.
- Customers with **shorter tenure** are more likely to churn.
- Month-to-month contract customers churn more frequently than long-term contract customers.
- Statistical testing confirmed a **significant difference** in monthly charges between churned and non-churned customers.

Business Recommendations

- Offer targeted discounts to high-risk customers with high monthly charges.
- Improve onboarding and engagement for new customers.
- Promote long-term contracts with loyalty incentives.
- Proactively monitor churn indicators and intervene early.

Conclusion

The analysis provides clear, data-driven insights that can help reduce churn and improve customer lifetime value through focused retention strategies.